

RISK AND REWARD OF MANAGED FUND SECTORS

Generally, the more volatile the asset, the better the return. Spreading investments helps achieve high returns while minimizing risk.



NEED TO KNOW

- **Market index** A statistical measurement reflecting the performance of stocks, shares, and bonds in a single market.
- **Index arbitrage** An investment strategy of profiting from the price difference in buying and selling futures in the same stock index. *See pp. 64–65.*
- **Index fund** An investment fund consisting of stocks in one particular market index, such as Standard & Poor's 500 (*see below*).

Indices to know

- **FTSE 100** Top 100 UK companies.
- **FTSE All-share** All companies on London stock exchange.
- **Dow Jones** Top 30 US companies.
- **Standard & Poor's 500** Top 500 US companies.
- **Wilshire 5000** Total US stocks.
- **MSCI EAFE** Equity markets in 21 European and Pacific countries.

3 Buying a fund



Registration Fund managers should be listed with the securities regulator.



Diversification By investing in different funds, potential risk can be reduced.



Direct investment Funds can be bought and sold via online brokers.



Fees Investors work hard to keep fees down, higher fees can mean lower returns.



Expert advice Advisors can suggest how much to spend and which units to buy.



Withdrawal rights There may be penalties for selling units in a fund early.

4 Managing a fund



Regular performance reports Figures received every month or quarter give updates on profits or losses.



Warning signs These might include the promise of high returns with little or no risk and should be investigated.



Statements Brokerage receipts, annual summaries, and other statements should all be filed.